

at the 1% level. Moreover, the differences persist across different (j, h) schemes and strategies.

By contrast, the winners, i.e. the realised winners and the contrarian winners, show positive rates lower than the unconditional rate, at about 55–56% and 57%, respectively. The positive rates of the realised winner subgroups are significantly lower than the average at the 1% level, while those of the contrarian winner are not. To summarise, both of the loser sub-portfolios exhibit strong time series reversal. In the winner group, only the realised winners show statistically significant reversal.

Our findings indicate that the instruments which contribute to trend-following profits, or the instruments that fall into the realised winner and realised loser subgroups, do experience a strong reversal during the time series reversal period (13–24 months). The two remaining portfolios, i.e., the contrarian winners and contrarian losers, which do not generate trend-following profits, behave differently to each other. The contrarian losers still produce significant reversals, whereas the contrarian winners do not.

After the 13–24-month period, time series reversal ceases to occur. The superior positive rates of the realised loser and contrarian loser subgroups are discontinued during the subsequent holding periods of 25–36 months and 37–48 months. Finally, during the 49–60-month period, the rates increase slightly again, to around 62% and 61%, respectively. Similarly, the rates for the realised winners rebound to the unconditional rate during the 25–36-month and 37–48-month periods, after which they fall back to approximately 57–58% in the 49–60-month period. Finally, the positive rates of the contrarian winner are not statistically significant over the majority of the sample. Details of the above results are available in Section E of the Online Appendix.

4.2. Sub-Portfolio Performance

To further investigate how each sub-portfolio evolves during the 4-year post-holding period (13–60 months), we evaluate the strategy performance with the underlying instruments of the four subgroups for 12 months. Four sets of strategies, with holding periods of 13–24 months, 25–36 months, 37–48 months, and 49–60